**IC Memo**
**EMBECTA**

## Recommendation & Investment Thesis

Recommendation: PASS

Embecta is an operationally solid B1 credit with stable margins, consistent cash generation, and a deleveraging track record. The business is not impaired. The PASS reflects the view that at current spreads, compensation is insufficient for the specific risks this issuer carries relative to the healthcare credit cohort.

Three risks are underweighted in the current spread. First, the category is in secular decline. Pen needle units in developed markets have contracted for four consecutive years, offset only by mix and geography, both of which have natural ceilings. GLP-1 adoption is a mixed dynamic for the franchise, delaying insulin initiation in Type 2 patients while generating pen tip demand at lower margin and lower volume per patient than insulin consumables. Net effect over a 5 to 10 year horizon is compressive to the core. Management's FY26 guide of $360M EBITDA against $415M LTM is the first formal acknowledgment. Second, the March 2026 Owen Mumford acquisition ($134M upfront, up to $200M total with Aidaptus sales earnout, RCF-financed, closing FY26 Q3) marks a capital allocation pivot away from debt paydown. Management funded the purchase with a revolver draw rather than cash or delayed debt reduction, signaling a shift in posture ahead of the 2029 refinancing. The draw reduces the undrawn revolver cushion that anchored the optimistic recovery scenario, and FY27 is guided dilutive to adjusted net income, flattening near-term FCF available for debt reduction. Third, customer concentration (McKesson, Cardinal, Cencora at 42% of revenue) structurally compounds the first two risks, as declining volumes shift pricing power toward distributors.

At S+300 (6.68% YTW) and 5% notes at 6.56% YTW, Embecta trades 100bps wide of higher-rated healthcare comps, a rating-adjusted gap that does not reflect the risks above. Re-underwrite at 75bps or greater TLB widening, 5% notes YTW at 7.50% or higher, or post-FY26 earnings print confirming deleveraging resumes on the management trajectory.

## Summary Deal Information

| | | | |
|---|---|---|---|
| Company | Embecta Corp. | Corporate Rating/Outlook | B+/B1(Stable) |
| HQ Location | Franklin Lakes, NJ | Facilities Ratings (recovery) | B+/B1(Stable) |
| Industry | Healthcare | Yield to Maturity | 6.68% |
| Sponsor | Public | LTM Period | |
| Purpose | Spin Off | Net Sales (mm) | $1,079.70 |
| Lead Agent | Morgan Stanley | LTM Adj. EBITDA (mm) | $ 415.10 |
| Spread + Floor | S+ 300bps | LTM Adj. EBITDA Margin | 38.4% |
| OID / Price | 97.25 | 1st Lien Leverage | 2.8x |
| Maturity | 3/31/2029 | EBIT/Interest | 3.3x |
| Primary/Secondary Market | Secondary | PF Adj. EBITDA-Capex/Int.Coverage | 3.9x |

## Sources and Uses ($mm)

| | | | |
|---|---|---|---|
| Revolving Credit Facility | - | Paydown Revolving Credit Facility | - |
| First Lien Term Loan B | 1,150.0 | Cash Distribution to BD | 1,440.0 |
| Other Secured Debt | 500.0 | Cash to Balance Sheet | 160.0 |
| | | Fees, Expenses, OID | 50.0 |
| **Total Sources** | **$ 1,650** | **Total Uses** | **$ 1,650** |

| PF Capital Structure ($mm) | Amount | LTM | Proj | LTV | Price | Spread | Interest | Maturity | YTW | Ratings |
|---|---|---|---|---|---|---|---|---|---|---|
| Revolver ($500 mm) | - | | | | 100.00% | S+ 300bps | - | 3/31/2027 | 6.71% | B+/B1 |
| First Lien Term Loan B | 679.3 | | | | 100.08% | S+ 300bps | 45.6 | 3/31/2029 | 6.68% | B+/B1 |
| 5.0 First Lien Secured Noted due February 2030 | 500.0 | | | | 94.79% | - | 25.0 | 2/15/2030 | 6.56% | B+/B1 |
| 6.75 First Lien Secured Noted due February 2030 | 200.0 | | | | 94.75% | - | 13.5 | 2/15/2030 | 8.38% | B+/B1 |
| **Total Secured Debt** | **1,379.3** | **3.3x Net 2.8x** | **3.8x** | **78%** | | | **84.1** | | | |
| Less: Debt issuance Costs/Discounts | (16.9) | | | | | | | | | |
| Plus: Capitalized Leases (Long Term + Short Term) | 31.7 | | | | | | | | | |
| **Total Debt** | **1,394.1** | | | **79%** | | | | | | |
| Less: Cash | (201.3) | | | | | | | | | |
| **Net Debt** | **1,192.8** | **2.9x** | **3.3x** | **67%** | | | **84.1** | | | |
| Equity Value | 576.8 | | | | | | | | | |
| **Enterprise Value** | **1,769.6** | **4.3x** | **4.9x** | | | | | | | |
| **PF Adj. EBITDA** | | 415.1 | 359.9 | | | | | | | |
| Capex | | (8.4) | (8.4) | | | | | | | |
| Cash Interest | | (103.5) | (84.1) | | | | | | | |
| Taxes | | (56.4) | (48.9) | | | | | | | |
| Changes in NWC | | (23.7) | (23.7) | | | | | | | |
| Other CFO | | (17.3) | (17.3) | | | | | | | |
| **FCF** | | **205.8** | **177.5** | | | | | | | |

| | LTM | | Projected | |
|---|---|---|---|---|
| | Secured | Total | Secured | Total |
| LTV | 78% | 79% | 78% | 79% |
| EBITDA/Interest | 4.0x | 4.0x | 4.3x | 4.3x |
| (EBITDA-Capex)/Interest | 3.9x | 3.9x | 4.2x | 4.2x |
| FCF(debt) | 14.9% | 14.8% | 12.9% | 12.7% |



Bansi Patel, CFA

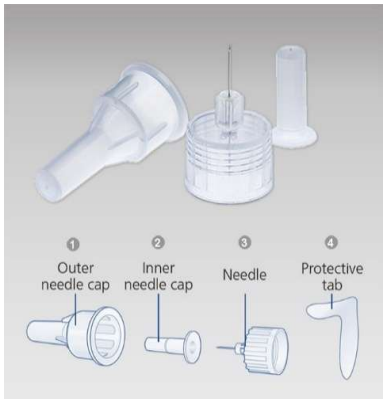
## Summary Financials

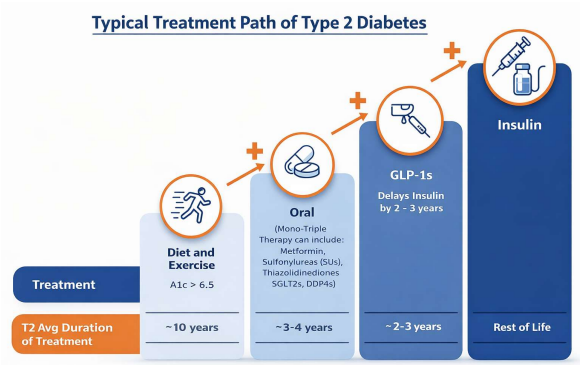
| | FY 2021 | FY 2022 | FY 2023 | FY 2024 | FY 2025 | LTM | 2026E |
|---|---|---|---|---|---|---|---|
| Revenues | 1,165.3 | 1,129.5 | 1,120.8 | 1,123.1 | 1,080.4 | 1,079.7 | 1,082.0 |
| *% Growth* | - | *(3.1%)* | *(0.8%)* | *0.2%* | *(3.8%)* | *(0.1%)* | *0.2%* |
| Adj. EBITDA | 565.5 | 459.9 | 378.3 | 353.1 | 415.1 | 415.1 | 359.9 |
| Acq. Adjustments | - | - | - | - | - | - | - |
| PF Adj. EBITDA | 565.5 | 459.9 | 378.3 | 353.1 | 415.1 | 415.1 | 359.9 |
| Capex | (36.8) | (23.6) | (26.5) | (15.8) | (9.3) | (8.4) | (8.4) |
| Cash Interest | - | (46.2) | (107.0) | (112.3) | (107.3) | (103.5) | (84.1) |
| Taxes | (80.1) | (33.0) | (35.3) | 34.1 | (40.9) | (56.4) | (48.9) |
| Change in NWC | (30.5) | 91.9 | (80.0) | (47.7) | (23.7) | (23.7) | (23.7) |
| Other CFO | 1.4 | (60.4) | (88.3) | (191.5) | (51.5) | (17.3) | (17.3) |
| FCF | 419.5 | 388.6 | 41.2 | 19.9 | 182.4 | 205.8 | 177.5 |
| Acquisitions, Net | (2.4) | (0.4) | - | - | - | 10.1 | - |
| Sale of Assets | - | - | - | - | - | - | - |
| Change in Debt | - | 1,406.3 | (9.5) | (34.6) | (184.6) | (189.7) | - |
| Equity Transactions, Net | (417.1) | (1,452.5) | (34.4) | (34.5) | (35.0) | (35.1) | (34.8) |
| Stock Buyback | - | - | - | - | - | - | - |
| Other CFF | - | (1.8) | (4.8) | (4.3) | (7.1) | (8.3) | (5.3) |
| Change in Cash | - | 340.2 | (7.5) | (53.5) | (44.3) | (17.2) | 137.5 |
| FCF Yield | 23.7% | 22.0% | 2.3% | 1.1% | 10.3% | 11.6% | 10.0% |
| | | | | | | | |
| Total Debt | - | 1,643.8 | 1,638.5 | 1,608.4 | 1,430.3 | 1,394.1 | 1,394.1 |
| Cash | - | 330.9 | 326.5 | 267.5 | 225.5 | 201.3 | 201.3 |
| Net Debt | - | 1,312.9 | 1,312.0 | 1,340.9 | 1,204.8 | 1,192.8 | 1,192.8 |
| Net Debt / EBITDA | - | 2.9x | 3.5x | 3.8x | 2.9x | 2.9x | 3.3x |
| Total Debt / EBITDA | - | 3.6x | 4.3x | 4.6x | 3.4x | 3.4x | 3.9x |
| EBITDA - Capex / Interest | - | 9.4x | 3.3x | 3.0x | 3.8x | 3.9x | 4.2x |

## Business Overview

Embecta Corp. is a medical device company focused on diabetes care products used for insulin delivery and was spun off from Becton, Dickinson and Company (“BD”) in April 2022 as an independent publicly traded entity. The company generates the majority of revenue from disposable insulin injection products, including pen needles (~75–80% of revenue), insulin syringes (~15–20%), and safety injection devices and other ancillary products (~5–10%). In 2024, management discontinued development of its insulin patch pump program following a strategic review, redirecting capital toward debt reduction and stabilization of the core franchise. Embecta manufactures approximately 8–9 billion units annually across a global manufacturing footprint and maintains ongoing supply agreements with BD for certain critical components, including cannulas. The company benefits from leading market positions in insulin injection devices, with market share exceeding 50% in several core geographies, supported by manufacturing scale and established distribution relationships. Products are primarily sold through pharmaceutical wholesalers and retail pharmacy channels under contractual pricing arrangements, with reimbursement determined through payor coverage frameworks in developed markets and predominantly cash-pay dynamics in emerging markets. Customer concentration reflects the industry’s distribution structure, with McKesson, Cardinal Health, and Cencora collectively representing approximately 42% of revenue. Revenue is geographically diversified, with roughly 50–55% generated in the United States and the balance internationally. Demand for Embecta’s products is largely non-discretionary and tied to insulin dependency rather than procedure volumes, supporting relatively stable unit demand and cash flow visibility, although the business remains exposed to pricing pressure, reimbursement dynamics, and supplier reliance stemming from the BD separation. In March 2026, Embecta announced a pending ~$190M (£150M) acquisition of UK-based Owen Mumford (closing FY26 Q3, RCF-financed) anchored by the Aidaptus auto-injector platform, extending the franchise into adjacent drug-delivery markets beyond insulin consumables. The deal marks a capital allocation pivot from pure deleveraging toward M&A.

| | Pen Needles | Safety Pen Needles and Safety Insulin Syringes | Insulin Syringes |
|---|---|---|---|
| Position | #1 globally | #1 globally | #1 globally |
| Global Product Share[1] | ~50% | ~60% | ~40% |
| Key Channel / Geographies | Retail pharmacy and hospital<br>USA, China, Germany | Hospital and long-term care<br>USA, Canada, France | Retail pharmacy<br>USA, Mexico, India |
| Product | Nano™ 2nd Gen; Ultra-Fine™ | AutoShield Duo™; Safety Insulin syringes | Ultra-Fine™ |
| Manufacturing site | Dún Laoghaire (Ireland)<br>Suzhou (China) | Dún Laoghaire (Ireland)<br>Holdrege, NE (USA) | Holdrege, NE (USA) |



## Investment Risks and Strengths

Investment Strengths

- Scaled, essential consumables franchise serving insulin-dependent patients — recurring reimbursed demand across developed and emerging markets
- Leading global pen needle platform (~50% share in core markets) supported by manufacturing scale and entrenched wholesaler relationships
- Stabilized ~38% LTM EBITDA margin following post-spin cost normalization and disciplined operating execution
- Strong and repeatable FCF generation (~$200M LTM) supported by low capital intensity and manageable working capital
- Sound interest coverage (~4.0x EBITDA/interest) and ample current liquidity ($701M total with $500M undrawn revolver)
- No material maturities until 2029; refinancing capacity is manageable under current and moderately stressed rate environments
- Covenant Headroom: Ample under base and bear cases; covenant is springing/maintenance on undrawn revolver
- Recovery (undrawn scenario): 1L recovers at/near par across most EBITDA × multiple combinations; equity is fulcrum in majority of cases
- Low near-term default probability given cash cushion, FCF generation, and no maturity wall until 2029

Investment Risks

- Structural: Mature category with flat-to-modestly declining revenue; developed-market pen needle volume declining
- GLP-1 Adoption: Multi-year headwind delaying Type 2 insulin initiation across 5–10+ year horizon
- Near-Term Catalyst Negative: FY26 EBITDA step-down from $415M LTM to ~$360M creates leverage expansion before deleveraging resumes
- Recovery (drawn scenario): 1L faces meaningful impairment once EBITDA falls below ~$350M at typical 5.0x multiple once $500M revolver is drawn
- Asymmetric recovery: drawn-revolver scenario eliminates the 'principal-safe' floor that the undrawn scenario suggests
- Customer Concentration: McKesson, Cardinal Health, Cencora represent ~42% of revenue
- Supplier Dependency: Reliance on BD for cannulas and critical components post-spin
- Competitive: Diversified medical device and pharmaceutical participants with vertically integrated supply chains
- Spread Inadequacy: TLB and 5% notes trade ~100-120bps wide of healthcare comps despite lower rating and secularly declining franchise
- Leverage-Adjusted Tightness: Embecta is LESS levered than median comp (2.9x vs 3.9x), gross leverage argues for tighter spread, compounding inadequacy
- Position Sizing Constraint: 6.75% notes ($200M outstanding) precludes meaningful fund-level allocation to best relative value instrument
- Return profile primarily driven by carry; limited multiple expansion or structural growth optionality

## Term Sheet Summary

Credit Facility

| | |
|---|---|
| **Borrower:** | Embecta Corp. |
| **Credit Facility:** | $500M RCF, $950M 1L TL, $500M 1L Secured Notes, $200M 1L Secured Notes |
| **Guarantors:** | The borrowers + all of Embecta's material wholly-owned domestic restricted subsidiaries |
| **Issue Date:** | 3/31/2022 |
| **Maturity Date:** | 3/31/2029 |
| **Applicable Margin:** | 300 |
| **CSA:** | - |
| **Financial Covenants:** | Max 4.75x Net First Lien Leverage Ratio for revolver (maintenance Covenant) |
| **Floor:** | 0.50% |
| **Term Loan Amortization:** | 1% per annum |
| **Call Protection:** | 101 soft call for six month (expired 9/30/2022) |

| Industry Comps ($mm) | Ticker | Price | YTD Price | Market Cap | Total Debt | Cash & Equivalents | Minority Interest | Enterprise Value | Revenue LTM | EBITDA LTM | EBITDA Margin | Net Debt /EBITDA | TEV/ EBITDA |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Novo Nordisk A/S | NVO* | $ 38.58 | (26.3%) | 130,318 | 20,595 | 4,240 | - | 146,673 | 46,786 | 24,189 | 51.7% | 0.7x | 6.1x |
| Terumo Corp | TRUMY | $ 12.82 | (12.0%) | 18,859 | 2,552 | 1,519 | - | 19,892 | 7,321 | 1,740 | 23.8% | 0.6x | 11.4x |
| | | | | | | | | **Median** | | | **23.8%** | **0.6x** | **11.4x** |
| Embecta Corp | EMBC | $ 9.74 | (11.8%) | 577 | 1,394 | 201 | - | 1,770 | 1,080 | 415 | 38.4% | 2.9x | 4.3x |

** Novo Nordisk ($130B+ mkt cap, integrated diabetes franchise) included for reference but not comparable to $~577M Embecta levered spinco. Median excludes NVO.*

| Debt Comps ($mm) | Borrower | Facility Ratings | Maturity | Spread | Amount O/S | Market Price | Yield | EBITDA | Total Debt | Cash | Gross Leverage | Total Leverage |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Organon | Organon & Co | Ba2/BB | 5/17/2031 | S+ 225bps | 1,543 | 99.16% | 6.01% | 1,706 | 8,644 | 574 | 5.1x | 4.7x |
| Elanco | Elanco Animal Health | Ba1/BB+ | 10/31/2032 | S+ 175bps | 1,100 | 100.38% | 5.44% | 932 | 4,017 | 545 | 4.3x | 3.7x |
| Select Medical | Select Medical Holdings | B1 | 12/3/2031 | S+ 200bps | 1,050 | 100.38% | 5.69% | 476 | 1,845 | 27 | 3.9x | 3.8x |
| **Average** | | | | | | **99.97%** | **5.71%** | | | | **4.4x** | **4.1x** |
| **Median** | | | | | | **100.38%** | **5.69%** | | | | **4.3x** | **3.8x** |
| Embecta | Embecta Co | B+/B1 | 3/31/2029 | S+ 300bps | 679 | 100.08% | 6.70% | 415.1 | 1,394 | 201 | 3.4x | 2.9x |

## Capital Structure

| ($ in millions) | Spread | Interest Rate | Maturity Date | Book Apr-26 | Book Leverage | Book Gross Lev | Book FCF Yield | Book LTV | Interest Expense | Market Price | Next Call Date | Call Price | Yield-to-Worst | Current Yield | Market Value | Market Leverage | Market FCF Yield | Market LTV | S&P/Moodys Credit |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Revolver ($500mm) | S+ 300bps | 6.71% | 3/31/27 | - | | | | | - | 100.00% | - | - | 6.71% | 6.71% | - | | | | B+/B1 |
| First Lien Term Loan B | S+ 300bps | 6.71% | 3/31/29 | 679.3 | | | | | 45.6 | 100.08% | - | - | 6.68% | 6.70% | 679.8 | | | | B+/B1 |
| 5.0 First Lien Secured Noted due February 2030 | | 5.00% | 2/15/30 | 500.0 | | | | | 25.0 | 94.79% | 2/16/27 | 101.25% | 6.56% | 5.27% | 474.0 | | | | B+/B1 |
| 6.75 First Lien Secured Noted due February 2030 | | 6.75% | 2/15/30 | 200.0 | | | | | 13.5 | 94.75% | 2/16/27 | 101.69% | 8.38% | 7.12% | 189.5 | | | | B+/B1 |
| **Total Secured Debt** | | | | **1,379.3** | **2.8x** | **3.3x** | **17.5%** | **66.6%** | **84.1** | | | | | | **1,343.3** | **2.8x** | **18.0%** | **64.5%** | |
| Less: Debt issuance Costs/Discounts | | | | (16.9) | | | | | | | | | | | | | | | |
| Plus: Capitalized Leases (Long Term + Short Term) | | | | 31.7 | | | | | | | | | | | | | | | |
| **Total Debt** | | | | **1,394.1** | **2.9x** | **3.4x** | **17.3%** | **66.6%** | **84.1** | | | | | | | | | | |
| Plus: Equity Value | | | | 576.8 | | | | | | | | | | | | | | | |
| Less: Cash and Cash Equivalents | | | | (201.3) | | | | | | | | | | | | | | | |
| **Total Enterprise Value** | | | | **1,769.6** | **4.3x** | **4.3x** | **11.6%** | | | | | | | | | | | | |
| **2026E Gross Leverage (Mgmt Guide)** | | | | | | **3.9x** | | | | | | | | | | | | | |
| **LTM → 2026E Leverage Delta** | | | | | | **0.6x** | | | | | | | | | | | | | |

## Assumptions

| | |
|---|---|
| Value Date | 4/16/2026 |
| SOFR | 3.71% |
| SOFR Floor | 0.50% |
| CSA | 0.00% |
| Stock Price | $ 9.74 |
| Revolver Size | 500.0 |
| Incremental Term Loan | 0.0 |
| ABL Borrowing Base | 500.0 |
| LC's Outstanding | 0.0 |

## Shares Outstanding

| | |
|---|---|
| Common Stock | 59.2199 |
| Other Class Stock | 0.0000 |
| Warrants | 0.0000 |
| TSM Shares Outstanding | 0.0000 |
| Fully Diluted Shared | 59.219854 |
| Date of Share Count | 9/30/2025 |

## 2026 Guidance

| | |
|---|---|
| Revenue (Low) | $ 1,071.0 |
| Revenue (High) | $ 1,093.0 |
| Adj. Operating Margin (Low) | 29.0% |
| Adj. Operating Margin (High) | 30.0% |
| Last Updated | 4/16/2026 |

## Financial Summary

| | FY 2021 | FY 2022 | FY 2023 | FY 2024 | FY 2025 | LTM | 2026E |
|---|---|---|---|---|---|---|---|
| Revenues | 1,165.3 | 1,129.5 | 1,120.8 | 1,123.1 | 1,080.4 | 1,079.7 | 1,082.0 |
| Acquisitions | - | - | - | - | - | - | - |
| PF Revenues | 1,165.3 | 1,129.5 | 1,120.8 | 1,123.1 | 1,080.4 | 1,079.7 | 1,082.0 |
| EBITDA | 565.5 | 459.9 | 378.3 | 353.1 | 415.1 | 415.1 | 359.9 |
| Acquisitions | - | - | - | - | - | - | - |
| PF EBITDA | 565.5 | 459.9 | 378.3 | 353.1 | 415.1 | 415.1 | 359.9 |
| Capex | (36.8) | (23.6) | (26.5) | (15.8) | (9.3) | (8.4) | (8.4) |
| 1st Lien Int. | - | (46.2) | (107.0) | (112.3) | (107.3) | (103.5) | (84.1) |
| 2nd Lien Int | - | - | - | - | - | - | - |
| Senior Int | - | - | - | - | - | - | - |
| Taxes | (80.1) | (33.0) | (35.3) | 34.1 | (40.9) | (56.4) | (48.9) |
| Change in NWC | (30.5) | 91.9 | (80.0) | (47.7) | (23.7) | (23.7) | (23.7) |
| Other CFO | 1.4 | (60.4) | (88.3) | (191.5) | (51.5) | (17.3) | (17.3) |
| FCF | 419.5 | 388.6 | 41.2 | 19.9 | 182.4 | 205.8 | 177.5 |
| *FCF Yield* | *23.7%* | *22.0%* | *2.3%* | *1.1%* | *10.3%* | *11.6%* | *10.0%* |
| *EBITDA Margin* | *48.5%* | *40.7%* | *33.8%* | *31.4%* | *38.4%* | *38.4%* | *33.3%* |
| % of debt | *30.4%* | *28.2%* | *3.0%* | *1.4%* | *13.2%* | *14.9%* | *12.9%* |

## Sources - Feb 2022 Spin off from BD

| | | | |
|---|---|---|---|
| RCF | - | RCF | - |
| 1L TL | 1,150.0 | Cash Distribution to BD | 1,440.0 |
| Other Secured Debt | 500.0 | Cash To BS | 160.0 |
| | | Fees, Expenses, OID | 50.0 |
| Total | 1,650.0 | | 1,650.0 |

## Quarterly Summary

| | Q4'25 | Q1'26 |
|---|---|---|
| Revenue | 264.0 | 261.2 |
| Adj. EBITDA | 89.8 | 97.2 |
| *Margin* | *34.0%* | *37.2%* |
| Capex | (7.3) | (0.6) |
| Adj, FCF | 86.2 | 22.1 |
| Actual FCF | 76.7 | 16.6 |
| Uses of Cash | | |
| Acq./Div. | - | 10.1 |
| Debt Change | (72.4) | (37.5) |

## Liquidity

| | |
|---|---|
| Revolver | 500.0 |
| Less: Drawn | - |
| Less:LC's | 0.0 |
| Revolver Available | 500 |
| Cash | 201.3 |
| Total Liquidity | 701.3 |



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**Recovery Analysis - Going Concern**

*Stressed EV waterfall to first lien - dual revolver scenarios*

## Assumptions

| | |
|---|---|
| Admin/Restructuring (% of EV) | 3.00% |
| Revolver Commitment ($M) | 500.0 |
| First Lien Face Value ($M) | 1,379.3 |
| LTM EBITDA (for reference) | 415.1 |
| 2026E EBITDA Guide (for reference) | 359.9 |

***Methodology***

*Analysis shows 1L recovery % across two revolver scenarios: (A) Undrawn revolver - optimistic, reflects current state where company has $201M cash + undrawn $500M RCF; (B) Fully drawn revolver - realistic distress assumption, where liquidity needs drive maximum revolver utilization. Real-world stress typically falls between these. Admin costs modeled at 3% of EV.*

## Scenario A: Undrawn Revolver (Optimistic)

| | 4.0x Multiple | | | | 5.0x Multiple | | | | 6.0x Multiple | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Stress EBITDA | | EV | Avail to 1L | Recovery % | Stress EBITDA | EV | Avail to 1L | Recovery % | Stress EBITDA | EV | Avail to 1L | Recovery % |
| | 350.0 | 1,400.0 | 1,358.0 | **98.46%** | 350.0 | 1,750.0 | 1,697.5 | **100.00%** | 350.0 | 2,100.0 | 2,037.0 | **100.00%** |
| | 300.0 | 1,200.0 | 1,164.0 | **84.39%** | 300.0 | 1,500.0 | 1,455.0 | **100.00%** | 300.0 | 1,800.0 | 1,746.0 | **100.00%** |
| | 275.0 | 1,100.0 | 1,067.0 | **77.36%** | 275.0 | 1,375.0 | 1,333.8 | **96.70%** | 275.0 | 1,650.0 | 1,600.5 | **100.00%** |
| | 250.0 | 1,000.0 | 970.0 | **70.33%** | 250.0 | 1,250.0 | 1,212.5 | **87.91%** | 250.0 | 1,500.0 | 1,455.0 | **100.00%** |
| | 225.0 | 900.0 | 873.0 | **63.29%** | 225.0 | 1,125.0 | 1,091.3 | **79.12%** | 225.0 | 1,350.0 | 1,309.5 | **94.94%** |
| | 200.0 | 800.0 | 776.0 | **56.26%** | 200.0 | 1,000.0 | 970.0 | **70.33%** | 200.0 | 1,200.0 | 1,164.0 | **84.39%** |

## Scenario B: Fully Drawn Revolver (Realistic Distress)

| | 4.0x Multiple | | | | 5.0x Multiple | | | | 6.0x Multiple | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Stress EBITDA | | EV | Avail to 1L | Recovery % | Stress EBITDA | EV | Avail to 1L | Recovery % | Stress EBITDA | EV | Avail to 1L | Recovery % |
| | 350.0 | 1,400.0 | 858.0 | **62.21%** | 350.0 | 1,750.0 | 1,197.5 | **86.82%** | 350.0 | 2,100.0 | 1,537.0 | **100.00%** |
| | 300.0 | 1,200.0 | 664.0 | **48.14%** | 300.0 | 1,500.0 | 955.0 | **69.24%** | 300.0 | 1,800.0 | 1,246.0 | **90.34%** |
| | 275.0 | 1,100.0 | 567.0 | **41.11%** | 275.0 | 1,375.0 | 833.8 | **60.45%** | 275.0 | 1,650.0 | 1,100.5 | **79.79%** |
| | 250.0 | 1,000.0 | 470.0 | **34.08%** | 250.0 | 1,250.0 | 712.5 | **51.66%** | 250.0 | 1,500.0 | 955.0 | **69.24%** |
| | 225.0 | 900.0 | 373.0 | **27.04%** | 225.0 | 1,125.0 | 591.3 | **42.87%** | 225.0 | 1,350.0 | 809.5 | **58.69%** |
| | 200.0 | 800.0 | 276.0 | **20.01%** | 200.0 | 1,000.0 | 470.0 | **34.08%** | 200.0 | 1,200.0 | 664.0 | **48.14%** |

## Recovery Summary - Both Scenarios

| Metric | Scenario A (Undrawn) | Scenario B (Drawn) |
|---|---|---|
| Total scenarios | **18** | **18** |
| Recovery = 100% | **6** | **1** |
| Recovery ≥ 90% | **9** | **2** |
| Recovery ≥ 80% | **12** | **3** |
| Recovery < 50% | **0** | **8** |
| Average Recovery | **86.86%** | **56.88%** |
| Median Recovery | **91.42%** | **55.17%** |
| Minimum Recovery | **56.26%** | **20.01%** |

Blended 1L Market Price (wtd by face) 97.39%

## Key Takeaways

- Undrawn Scenario: 1L recovery is 100% only at high EBITDA × high multiple combinations (LTM-like states)
- Drawn Scenario: 1L impaired across most moderate-to-severe stress outcomes once revolver priority claim applied
- Reality: Distressed companies typically draw revolvers fully to preserve liquidity; Scenario B is more realistic for restructuring scenarios
- Implication: Recovery story is NOT the primary support for holding this paper - spread adequacy must compensate independently
- The gap between Scenario A and B is the "revolver priority penalty" - ~36% of 1L face value at each EV level
- At 2026E guide ($360M EBITDA) at 5.0x multiple: drawn scenario shows ~80% recovery - meaningful but not severe impairment
- Current blended market price (~95-96) already reflects some impairment risk, not just liquidity discount

**Fulcrum Analysis**

*Where does value break? Recovery matrix across EBITDA × Multiple, dual revolver scenarios*

| Key Inputs | |
|---|---|
| Admin/Rstr % of EV | 3.00% |
| Revolver Commitment ($M) | 500.0 |
| First Lien Face ($M) | 1,379.3 |
| Current Equity Market Cap ($M) | 576.8 |

**Scenario A: Undrawn Revolver - 1L Recovery Matrix**

| EBITDA ↓ / Multiple → | 3.5x | 4.0x | 4.5x | 5.0x | 5.5x | 6.0x |
|---|---|---|---|---|---|---|
| 150.0 | 36.92% | 42.20% | 47.47% | 52.74% | 58.02% | 63.29% |
| 175.0 | 43.07% | 49.23% | 55.38% | 61.53% | 67.69% | 73.84% |
| 200.0 | 49.23% | 56.26% | 63.29% | 70.33% | 77.36% | 84.39% |
| 225.0 | 55.38% | 63.29% | 71.20% | 79.12% | 87.03% | 94.94% |
| 250.0 | 61.53% | 70.33% | 79.12% | 87.91% | 96.70% | 100.00% |
| 275.0 | 67.69% | 77.36% | 87.03% | 96.70% | 100.00% | 100.00% |
| 300.0 | 73.84% | 84.39% | 94.94% | 100.00% | 100.00% | 100.00% |
| 325.0 | 80.00% | 91.42% | 100.00% | 100.00% | 100.00% | 100.00% |
| 350.0 | 86.15% | 98.46% | 100.00% | 100.00% | 100.00% | 100.00% |
| 375.0 | 92.30% | 100.00% | 100.00% | 100.00% | 100.00% | 100.00% |
| 400.0 | 98.46% | 100.00% | 100.00% | 100.00% | 100.00% | 100.00% |
| 425.0 | 100.00% | 100.00% | 100.00% | 100.00% | 100.00% | 100.00% |
| 450.0 | 100.00% | 100.00% | 100.00% | 100.00% | 100.00% | 100.00% |

**Scenario B: Fully Drawn Revolver - 1L Recovery Matrix**

| EBITDA ↓ / Multiple → | 3.5x | 4.0x | 4.5x | 5.0x | 5.5x | 6.0x |
|---|---|---|---|---|---|---|
| 150.0 | 0.67% | 5.95% | 11.22% | 16.49% | 21.77% | 27.04% |
| 175.0 | 6.82% | 12.98% | 19.13% | 25.28% | 31.44% | 37.59% |
| 200.0 | 12.98% | 20.01% | 27.04% | 34.08% | 41.11% | 48.14% |
| 225.0 | 19.13% | 27.04% | 34.95% | 42.87% | 50.78% | 58.69% |
| 250.0 | 25.28% | 34.08% | 42.87% | 51.66% | 60.45% | 69.24% |
| 275.0 | 31.44% | 41.11% | 50.78% | 60.45% | 70.12% | 79.79% |
| 300.0 | 37.59% | 48.14% | 58.69% | 69.24% | 79.79% | 90.34% |
| 325.0 | 43.75% | 55.17% | 66.60% | 78.03% | 89.46% | 100.00% |
| 350.0 | 49.90% | 62.21% | 74.51% | 86.82% | 99.13% | 100.00% |
| 375.0 | 56.05% | 69.24% | 82.42% | 95.61% | 100.00% | 100.00% |
| 400.0 | 62.21% | 76.27% | 90.34% | 100.00% | 100.00% | 100.00% |
| 425.0 | 68.36% | 83.30% | 98.25% | 100.00% | 100.00% | 100.00% |
| 450.0 | 74.51% | 90.34% | 100.00% | 100.00% | 100.00% | 100.00% |

**Fulcrum Summary - Both Scenarios**

| Metric | Scenario A (Undrawn) | Scenario B (Drawn) |
|---|---|---|
| Total scenarios in grid | 78 | 78 |
| Scenarios with 100% 1L recovery | **36** | **14** |
| Scenarios with 80-100% recovery (partial impairment) | **14** | **10** |
| Scenarios with <80% recovery (severe impairment) | **28** | **54** |
| % where equity is fulcrum (1L fully recovered) | **46.15%** | **17.95%** |
| Average recovery across grid | **84.97%** | **60.09%** |

**Interpretation**

- Undrawn: Equity is fulcrum in majority of scenarios (especially at higher multiples) - 1L money-good in base state
- Drawn: Revolver claim materially reduces 1L recovery; equity is fulcrum in far fewer scenarios
- Impairment Thresholds: In drawn scenario, 1L takes some impairment once EBITDA falls below ~$350M at 5.0x multiple
- Current LTM EBITDA ($415M) and 2026E guide ($360M) both sit close to the impairment boundary in drawn scenario
- Implication: Recovery is adequate but NOT bulletproof. The "principal safe" thesis only holds under optimistic assumptions
- Thesis Conclusion: Current spread does not compensate for range of recovery outcomes across realistic distress scenarios
- Combined with secular decline and negative FY26 catalyst, this supports disciplined Pass pending spread widening

**Covenant Headroom Analysis**

*Maintenance covenant test: Max 4.75x Net First Lien Leverage (Revolver)*

| Covenant Terms | |
|---|---|
| Max Net 1L Leverage Ratio | 4.75x |
| Test Trigger | When Revolver Drawn |
| Current Revolver Drawn | - |
| Commentary | *Covenant is springing/maintenance on revolver only. Cash position supports no draw near-term.* |

**Base Case Projection (2026E from Mgmt Guide, Flat 2027-2029)**

| | LTM | 2026E | 2027E | 2028E | 2029E |
|---|---|---|---|---|---|
| Revenue ($M) | 1,079.7 | 1,082.0 | 1,082.0 | 1,082.0 | 1,082.0 |
| EBITDA ($M) | 415.1 | 359.9 | 359.9 | 359.9 | 359.9 |
| FCF ($M) | 205.8 | 177.5 | 177.5 | 177.5 | 177.5 |
| First Lien Debt ($M) | 1,379.3 | 1,246.2 | 1,113.0 | 979.9 | 846.8 |
| Cash Balance ($M) | 201.3 | 245.7 | 290.1 | 334.4 | 378.8 |
| Capitalized Leases ($M) | 31.7 | 31.7 | 31.7 | 31.7 | 31.7 |
| **Net First Lien Debt** | **1,209.7** | **1,032.2** | **854.7** | **677.2** | **499.7** |
| **Net 1L Leverage** | **2.9x** | **2.9x** | **2.4x** | **1.9x** | **1.4x** |
| Covenant Threshold | 4.75x | 4.75x | 4.75x | 4.75x | 4.75x |
| **Covenant Headroom** | **38.65%** | **39.62%** | **50.00%** | **60.39%** | **70.77%** |
| **Status** | **OK** | **OK** | **OK** | **OK** | **OK** |

**Bear Case (-5% Revenue, 32% EBITDA Margin)**

| | LTM | 2026E | 2027E | 2028E | 2029E |
|---|---|---|---|---|---|
| Revenue ($M) (-5% p.a.) | 1,079.7 | 1,025.7 | 974.4 | 925.7 | 879.4 |
| EBITDA (32% margin) | 415.1 | 328.2 | 311.8 | 296.2 | 281.4 |
| FCF | 205.8 | 148.2 | 131.8 | 116.2 | 101.4 |
| First Lien Debt ($M) | 1,379.3 | 1,305.2 | 1,239.3 | 1,181.2 | 1,130.5 |
| Cash ($M) | 201.3 | 275.4 | 341.3 | 399.4 | 450.1 |
| Capitalized Leases | 31.7 | 31.7 | 31.7 | 31.7 | 31.7 |
| **Net First Lien Debt** | **1,209.7** | **1,061.5** | **929.7** | **813.4** | **712.0** |
| **Net 1L Leverage** | **2.9x** | **3.2x** | **3.0x** | **2.7x** | **2.5x** |
| **Covenant Headroom** | **38.65%** | **31.92%** | **37.23%** | **42.19%** | **46.73%** |
| **Status** | **OK** | **OK** | **OK** | **OK** | **OK** |

**Key Takeaways**

- Base case: covenant headroom remains ample throughout projection period (>25%)
- Bear case: leverage elevates but remains well below 4.75x threshold given margin preservation
- Covenant is springing/maintenance - only tested if revolver is drawn (not drawn currently)
- Cash position ($201M LTM) provides liquidity buffer preventing revolver draw in near term
- Downside risk to covenant is de minimis absent severe stressed scenario beyond modeled bear